

MODULE 5, CHAPTER 1: THE FRAGILITY OF LIFE

Historical Origins

- **The Industrial Revolution:** Personal Accident (PA) insurance started in Great Britain around 1864 to entice terrified people to ride the new steam trains by proving railway travel was safe.

The Definition of an Accident

- **Strict Definition:** An event that is **undesigned, unforeseen, unexpected, and unintentional**.
- **Claim Trigger:** The injury must arise out of **accidental, violent, external, and visible means**.

Policy Characteristics

- **Not a Contract of Indemnity:** Unlike motor or property policies, PA is not a contract of indemnity because a human life or severed limb has absolutely no monetary value.
- **Valued Policy:** PA is a valued policy, meaning it pays a specific, agreed-upon face value amount.
- **Benefits over Life Insurance:** Often the next best alternative to a life policy. It offers high coverage limits (up to 10 times annual income) for a very low premium.
- **Streamlined Coverage:** No medical examination is required, coverage is immediate, and the payout does not suffer from depreciation or deductibles.

Key Takeaway: You cannot put a price tag on a lost hand! PA is a valued policy, NOT a contract of indemnity. To trigger a claim, the event must strictly be accidental, violent, external, and visible.